SMOKY MOUNTAIN CPAS · FREE WORKSHEET

The Monthly Nut Worksheet

Know the number your business must earn every month. From the two CPAs at Smoky Mountain CPAs.

Your monthly nut is the total of every bill that arrives whether or not you sell anything. Most owners have never written it down, which means every month starts with a mystery number and ends with a surprise. This worksheet takes about 20 minutes, produces one number you will never forget, and usually finds a few hundred dollars of cuts on the way. A worked example runs beside you.

Step 1. List every recurring bill

Go through last month's bank and card statements and write down everything that repeats. Typical categories: rent, payroll, owner health insurance, business insurance, software and subscriptions, phone and internet, loan minimums, professional services.

Example list: rent $1,500, part-time payroll $1,800, insurance $310, software and subscriptions $460, phone and internet $90, loan minimum $400, bookkeeping $240. Listed total: $4,800.

Step 2. Sort every line into three piles

- **A. Critical.** The business stops without it. Rent, payroll, insurance, the software that runs sales.
- **B. Helpful.** Makes the business better but the doors stay open without it. Most tools, most services.
- **C. Cuttable.** You forgot it existed, it duplicates something else, or nobody has opened it in 60 days.

Be honest about pile A. It should be shorter than you want it to be.

In the example, $460 of software sorts into $150 critical, $200 helpful, and $110 cuttable, and one $85 subscription in another category turns out to be a duplicate. Pile C total: $195 a month, $2,340 a year, found in 20 minutes.

Step 3. Name your two numbers

- **Survival nut** = pile A total. The example: $4,205. Below this number the business is in real trouble, so this is the number to test your worst month against.
- **Operating nut** = A plus B. The example: $4,605 after cuts. This is the number your pricing and sales targets have to clear before you earn a dollar.

Write both somewhere you will see them. These two numbers turn "can I afford it?" from a feeling into arithmetic.

Step 4. Check the timing

List the due date next to each pile A bill. If rent and payroll land the first week but your revenue lands mid-month, you can be profitable on paper and still bounce payments. Two fixes: ask one or two vendors to move due dates later in the month, and hold one week of pile A (about $1,050 in the example) as a floor in the operating account.

Three rules that keep the nut honest

- **Re-run this worksheet quarterly.** Subscriptions breed. A 20 minute quarterly pass keeps pile C at zero.
- **Every new recurring cost gets a pile before it gets a card number.** If you cannot call it A or B out loud, it is C.
- **When revenue drops, cut C, then B, in that order, immediately.** The owners who get hurt are the ones who keep paying the full nut for six months of down revenue.

Your nut is half of the pay-yourself math.

Deposits minus set-asides minus the nut is what you can pay yourself. This worksheet gives you the nut. Clean books give you the rest, and that is the half most owners cannot see.

We are Brooks and Caroline, the two CPAs behind Smoky Mountain CPAs in Knoxville. We keep books clean and tax-ready for ecommerce sellers, boutiques, and contractors, and we build owners a cash system where numbers like these are visible every day. We do not file taxes. We make the numbers ready for whoever does.

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Or start with the $497 Diagnostic Review: two CPAs inside your actual QuickBooks, findings in writing and on video.

Smoky Mountain CPAs
Brooks and Caroline
(865) 312-1203 · smokymtncpas.com